



CA INTER MAY/SEP 2026

ONE SHOT

INCOMETAX

**RESIDENTIAL
STATUS**



CHAPTER 2: RESIDENTIAL STATUS

INTRODUCTION

- **Total income** of an assessee can be computed only **after ascertaining** the **residential status** of the assessee during the **previous year**
- **Citizenship and residential status** are both **different concepts**.
- Residential status is determined for every PY, it is possible that person is resident in **one year** and non-resident in **another year**.

RESIDENTIAL STATUS OF INDIVIDUALS [SECTION 6(1)/6(6)(a)]

As per **Section 6(1)**, an individual is said to be resident, if he satisfies **any one** of the following **two basic conditions**:

1. He stays in India for **182 days or more** during the relevant previous year (RPY)
2. He stays in India for **60 days or more** in RPY and also for **365 days or more** **during 4 years** preceding the RPY.

Note:

1. Period of stay may not be **continuous**.
2. Date of **departure** and **arrival** both shall be considered for stay in India.

Additional Condition

Section 6(6), An individual is said to be a resident and ordinarily resident if he satisfies both the following conditions:

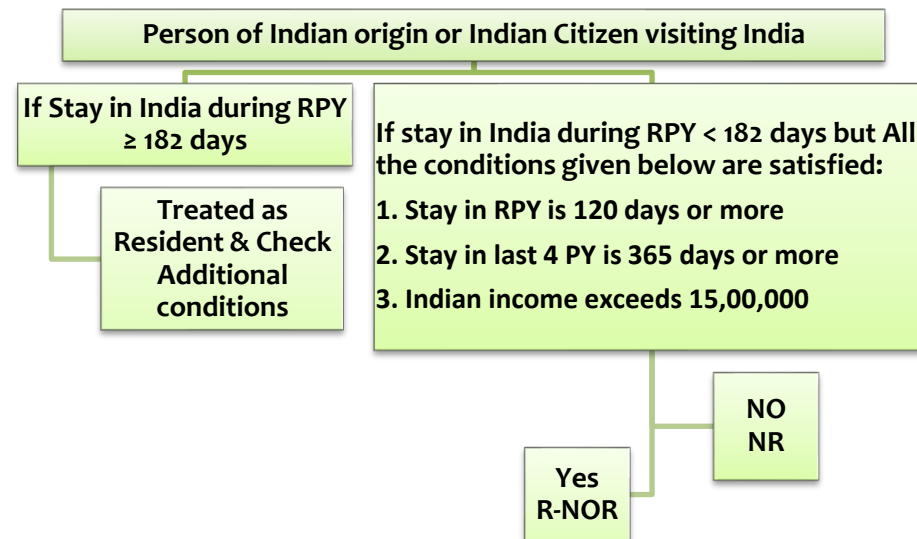
- (i) He is a resident in any 2 out of last 10 previous year, and
- (ii) His total stay in India in the last 7 years is 730 days or more.

Category 1: Exceptions to the basic condition - Check only 182 days

1. If an Indian Citizen leaves India for the purpose of **employment**
2. If an Indian Citizen leaves India as a **crew member** of Indian Ship.

Note: **Date of Joining** and **Date of Signing Off** As per **continuous discharge certificate** shall be considered as **outside India** in the case of crew member of **foreign going Ship**.

Category 2: Exceptions to the basic condition for Indian Citizen or Person Of Indian Origin



* Indian Income includes **Foreign business** income whose **control** is in India or **foreign professional income** whose setup is in India

DEEMED RESIDENT [SECTION 6(1A)]

Individual Shall be **NOR** if all of the following conditions are satisfied:

- a) Individual is **Indian Citizen**
- b) Total Indian Income **exceeds 15 Lakh**.
- c) Such person is **not paying Tax In any Country**

RESIDENTIAL STATUS OF HUF [SECTION 6(2)/6(6)(b)]

- HUF would be resident in India if **C&M** of its affairs is situated **wholly or partly** in India. Otherwise, Non-resident.
- An HUF is said to be **ROR** if **Karta satisfies** both additional conditions, Otherwise NOR



RESIDENTIAL STATUS OF FIRM OR BOI OR AOP	RESIDENTIAL STATUS OF COMPANY [SECTION 6(3)]
Resident if Control & Management is wholly or partially in India, otherwise NR.	Indian Company Always Resident. Foreign Company Resident if POEM is in India

SCOPE OF TOTAL INCOME OR TAX INCIDENCE [SECTION 5]

Income accrue or arise / deemed To Accrue or Arise	Income Received / Deemed to Be Received	Income
India	India	Indian
India	Outside India	Indian
Outside India	India	Indian
Outside India	Outside India	Foreign

Income	ROR	NOR	NR
Indian	Taxable	Taxable	Taxable
Foreign	Taxable	Non – Taxable Exception: Following Foreign Incomes are Taxable. Business Income: Business Controlled From India. Professional Income: Profession Set Up in India	Non - Taxable

INCOME DEEMED TO ACCRUE OR ARISE IN INDIA [SECTION 9]

- Any income accruing or arising to an **assessee in any place** outside India whether directly or indirectly
 - Through or from any **business connection** in India.

excluding the following (not treated as business connection):

 - Purchase for **export**.

- Collection of news** in India for transmission outside India.
- Shooting of film** in India by:
 - a foreign citizen, or
 - a foreign firm with no Indian citizen/resident partner, or
 - a foreign company with no Indian citizen/resident shareholder
- In case of foreign company engaged in the business of **mining of diamonds** from the activities which are confined to display of **uncut** and **unassorted diamonds** in any special zone notified by CG.
 - Through or from **property, asset or source** of income in India or
 - Through the **transfer of a capital asset** situated in India.
- Salary payable for service rendered in India would be treated as earned in India.
- Salary paid by the Government to an Indian citizen for services rendered outside India is deemed to accrue in India, but allowances and perquisites paid abroad for such services are exempt.
- Dividend paid by Indian company outside India
- Interest income is deemed to accrue or arise in India as follows:
 - If received from the GOI → Always taxable in India.
 - If received from a resident of India → Taxable in India only if the loan is used for earning any income in India.
 - If received from a non-resident → Taxable in India only if the loan is used for earning business or professional income in India.
- Royalty/FTS is deemed to accrue or arise in India as follows:
 - If received from the GOI → Always taxable in India.
 - If received from a resident of India → Taxable in India if the IPR/technical services are utilised for earning any income in India.
 - If received from a non-resident → Taxable in India if the IPR/technical services are utilised for earning any income in India.



Thank You

